

September 25, 2026 04:14 PM GMT

Gaming, Lodging and Real Estate | Asia Pacific

# TWA #39/2026: US Trip Feedback; Weaker Sentiment

US investors are concerned about overall consumption weakness in China and rising rates. Key ideas: Wynn over LVS, Galaxy over Sands, HK landlords over developers, Indian REITs over developers. Confidence in October Golden Week for gaming/lodging is low.

**US trip feedback:** Interest level and positioning are low amid weaker Chinese consumption, regulatory tightening around tax and money flow, and rising rates. Valuation remains compelling, dividend yield is high, and investors are willing to engage on the stock level.

Questions/debates we have answered/discussed inside:

- 1) **Macau Gaming:** After a year of earnings estimate cuts, is the downgrade cycle nearly over? What did we learn from our hotel survey for October Golden Week in Macau?
- 2) **Hong Kong Property:** Could Fed rate hikes play spoilsport for HK home price recovery? How much of these are already priced in? Why do we still prefer landlords?
- 3) **China – Hotels:** Can stronger visitation and flight pricing support hotels, Macau, and HK retail stocks?
- 4) **India – Property:** According to Propequity, developers' July-August sales rose 7% YoY. Is this enough for investors to engage with Indian developers? What are our key takeaways from our Virtual India Property Day?

Stock picks:

**OW-rated:** Swire Properties, Link REIT, Lodha, Godrej, Galaxy, and Wynn Macau.

Events and Dates:

**October 14:** Investor trip to Shanghai/Hangzhou malls.

**November 16-19:** Macau/Singapore Trip and Asia Conference.

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| HONG KONG/CHINA MULTI-INDUSTRY    |  |            |
|-----------------------------------|--|------------|
| Asia Pacific                      |  |            |
| Industry View                     |  | In-Line    |
| HONG KONG/MACAU GAMING            |  |            |
| Asia Pacific                      |  |            |
| Industry View                     |  | In-Line    |
| ASEAN GAMING                      |  |            |
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| Asia Pacific                      |  |            |
| Industry View                     |  | Attractive |
| HONG KONG/CHINA LEISURE & LODGING |  |            |
| Asia Pacific                      |  |            |
| Industry View                     |  | Attractive |
| INDIA PROPERTY                    |  |            |
| Asia Pacific                      |  |            |
| Industry View                     |  | Attractive |

Click below to access the respective industry sections:

- Asia Gaming
- Hong Kong Property & Conglomerates
- China Hotels
- India Property

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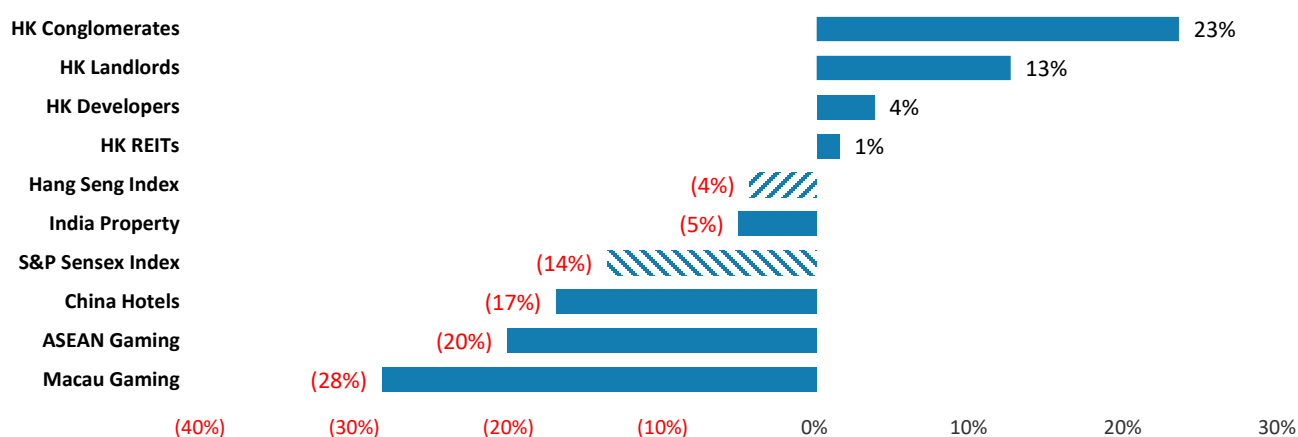
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# Investment Summary and Stock Ideas

| ITEM                         | DETAILS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Stock ideas</b>           | <p><b>(+) Swire Properties:</b> A key beneficiary of the improving HK office market, while retail sales in China have remained very strong and ahead of peers. Rising dividends and continued buybacks should help drive further narrowing of the discount to NAV.</p> <p><b>(+) Galaxy:</b> Strong 3Q26 performance with higher market share (ahead of consensus estimates), making it the strongest stock in a quarter where the industry is seeing negative revision. High dividend yield (above 5%), net cash position, and upcoming supply in Phase 4 to drive future growth.</p> <p><b>(+) Lodha:</b> A potential BTS data-center customer announcement could be an important catalyst, prompting investors to start pricing in DC rental income. Management expects this to exceed Rs20bn by F32E, although no customer has been announced yet.</p>                                         |
| <b>Investor queries</b>      | <p><b>Gaming:</b> Are the potential earnings estimate revisions in 3Q already priced in? Has demand been affected by cross-border capital flow rules and implementation?</p> <p><b>Hong Kong Property and Conglomerates:</b> Could expected Fed rate hikes reverse the recovery in home prices? What are your expectations for NWD's F26 results, and what are the potential upside catalysts for the stock? Which Hong Kong property companies are most vulnerable to higher interest rates?</p> <p><b>China – Hotels:</b> What is the early indication of demand in the Mid-Autumn and October Golden Week holiday, and what is the current consensus view?</p> <p><b>India – Property:</b> How are 2QF27 pre-sales and launches tracking for major developers? Is Lodha's valuation too expensive? Is this the right time to buy DLF ahead of the Rs80-90bn Hamilton launch expected in 2H?</p> |
| <b>Stock moves last week</b> | <p><b>Industry (WoW):</b> Hang Seng Index and India's Sensex were both -1%. Macau Gaming was -2%; HK Property was flat. China hotels was -2%. India Property was +3%.</p> <p><b>Big movers (WoW):</b> DLF (+7%), Phoenix Mills (+5%), and NWD (+4%).</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |

**Exhibit 1:** Market cap movement YTD %, by group

## YTD Market Cap By Sectors - Sept 25 (2026) vs. Dec 31 (2025)



Source: FactSet, Morgan Stanley Research. Note: Closing as of Sept 25, 2026.

# Asia Gaming

**US marketing feedback:** Investor interest in Macau remains selective rather than broadly bullish. The main queries were around weakness in September, lack of LO engagement, and stock de-rating despite valuation support. Most clients were more constructive on Wynn and Galaxy given execution, share and dividend support, while Sands and MLCO generated more debate. Despite weak execution, investors were willing to play Sands (valuation, dividend, LVS buying stake) and MLCO (risk-reward favorable and higher beta). Investors were asking if cost pressure is stabilizing and whether Hengqin can become more useful to Macau over time.

## Q1: A year of earnings estimate cuts and 3Q consensus still looks too high: is the downgrade cycle nearly over?

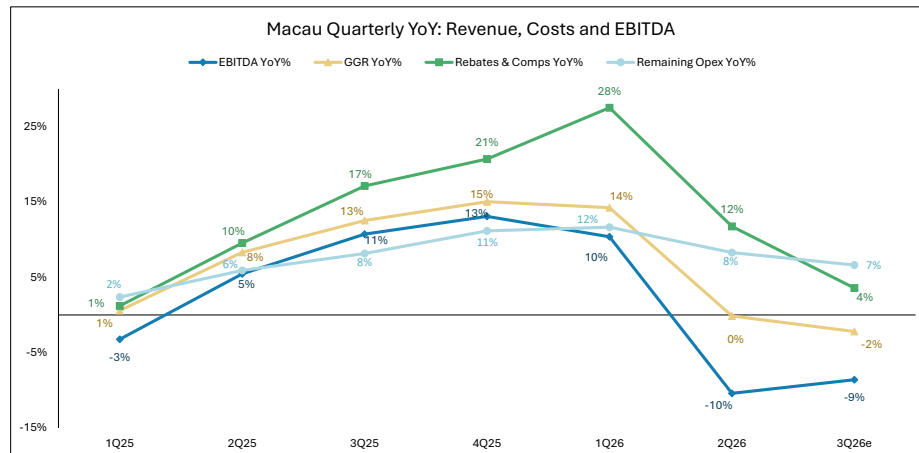
After a year of continuous earnings estimate cuts, a bottom might be close. However, we still think 3Q and 2026 consensus EBITDA are too high. Macau gaming stocks are still hovering near the bottom, and we are not sure about EBITDA estimate revision timing. Our 3Q26e industry EBITDA is still 4% below VA consensus, so some further downside to consensus numbers may not yet be in the price.

We prefer Galaxy and Wynn Macau as a result of competitive market share, above-consensus EBITDA in 3Q, and high dividend yield.

### 3Q's slower cost growth, undone by falling GGR:

Earlier earnings estimates were dropping despite GGR growing at a double-digit rate because opex and reinvestment cost also grew at double digits. The cost trajectory is now improving with flattish QoQ.

In 3Q, however, the pressure has shifted to the top line. Quarterly GGR has turned negative YoY, weighed down by World Cup and a continued lack of VIP presence in Macau, even as mass and slot revenue remain resilient. As a result, EBITDA is still down 9% YoY in 3Q.

**Exhibit 2:** Macau Quarterly YoY: Revenue, Costs and EBITDA

Source: Company data, Morgan Stanley Research estimates.

**Reductions to continue:** For the industry as a whole, we are still 4% below consensus expectation, suggesting scope for further cuts. However, based on our market share assumptions, Galaxy and Wynn Macau are projected to exceed consensus EBITDA estimates by ~4% for 3Q26.

**Exhibit 3:** Macau 3Q26 Property EBITDA Growth Rate: VA Consensus vs. MSe

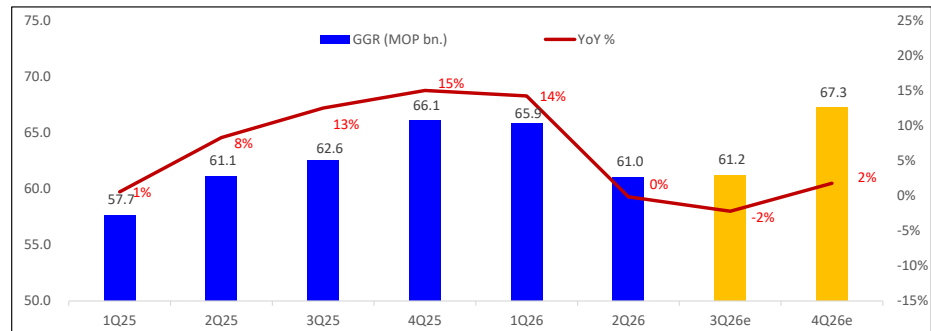
|                              | 3Q25A        | 2Q26A        |              |           |             |             |               |                 |
|------------------------------|--------------|--------------|--------------|-----------|-------------|-------------|---------------|-----------------|
| Property EBITDA (US\$ mn)    | Reported     | Reported     | MSe          | 3Q26      | QoQ         | YoY         | Vs. Consensus | 3Q VA Consensus |
| Sands China                  | 601          | 430          | 504          | 17%       | (16%)       | (9%)        | (9%)          | 555             |
| Galaxy                       | 469          | 474          | 518          | 9%        | 10%         | 4%          | 4%            | 497             |
| Wynn Macau                   | 308          | 297          | 290          | (2%)      | (6%)        | 4%          | 4%            | 278             |
| MLCO Macau                   | 317          | 250          | 243          | (3%)      | (23%)       | (12%)       | (12%)         | 277             |
| MLCO Total                   | 381          | 304          | 305          | 1%        | (20%)       | (7%)        | (7%)          | 329             |
| MGM China                    | 306          | 300          | 274          | (9%)      | (11%)       | (9%)        | (9%)          | 300             |
| SJM                          | 120          | 108          | 111          | 2%        | (8%)        | (7%)        | (7%)          | 119             |
| <b>Macau Property EBITDA</b> | <b>2,121</b> | <b>1,859</b> | <b>1,939</b> | <b>4%</b> | <b>(9%)</b> | <b>(4%)</b> | <b>(4%)</b>   | <b>2,026</b>    |

|                              | 3Q25A        | 2Q26A        |              |             |               |               |               |                 |
|------------------------------|--------------|--------------|--------------|-------------|---------------|---------------|---------------|-----------------|
| Property EBITDA (US\$ mn)    | Hold-adj.    | Hold-adj.    | MSe          | 3Q26        | Hold adj. QoQ | Hold adj. YoY | Vs. Consensus | 3Q VA Consensus |
| Sands China                  | 599          | 517          | 504          | (3%)        | (16%)         | (9%)          | (9%)          | 555             |
| Galaxy                       | 467          | 478          | 518          | 8%          | 11%           | 4%            | 4%            | 497             |
| Wynn Macau                   | 285          | 306          | 290          | (5%)        | 2%            | 4%            | 4%            | 278             |
| MLCO Macau                   | 294          | 259          | 243          | (6%)        | (17%)         | (12%)         | (12%)         | 277             |
| MLCO Total (Property)        | 355          | 312          | 305          | (2%)        | (14%)         | (7%)          | (7%)          | 329             |
| MGM China                    | 284          | 301          | 274          | (9%)        | (4%)          | (9%)          | (9%)          | 300             |
| SJM                          | 115          | 109          | 111          | 2%          | (4%)          | (7%)          | (7%)          | 119             |
| <b>Macau Property EBITDA</b> | <b>2,044</b> | <b>1,970</b> | <b>1,939</b> | <b>(2%)</b> | <b>(5%)</b>   | <b>(4%)</b>   | <b>(4%)</b>   | <b>2,026</b>    |

Source: Visible Alpha as of Sept 25, 2026, Morgan Stanley Research.

**3Q GGR growth of -2% YoY:**

3Q was a soft quarter throughout. July was hit by the World Cup, and August and September were weighed down by continued absence of premium players. September tracking has also been below expectation, but we expect the Mid-Autumn Festival to lift activity for the remaining month, bringing September GGR to +4% YoY. Combined, this implies 3Q GGR of -2% YoY.

**Exhibit 4:** Macau: Quarterly GGR estimates

Source: DICJ, Morgan Stanley Research estimates.

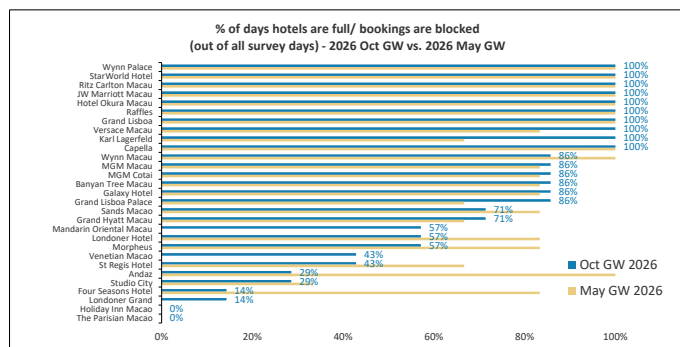
## Q2: Lessons from our survey: Will October Golden Week result in a turning point for the group?

We don't expect Golden Week to be a catalyst for positive revisions. A high base from last year and demand pulled forward by the Mid-Autumn festival point to a softer holiday period.

That said, with costs plateauing and 4Q expectations already subdued, we see limited room for substantial further downside.

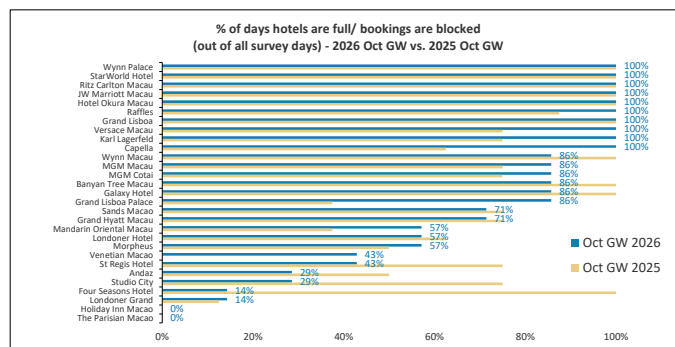
- Hotel demand appears softer for October Golden Week, with occupancy 6ppts below May GW and 4ppts below October 2025 Golden Week. ADRs are higher, though.
- Softer October Golden Week could be from strong Mid-Autumn Festival (September 25-27) and being close to each other.
- We expect +4% YoY GGR growth in September. October should be flat.
- SJM is seeing stronger occupancy at GLP and Karl. Melco's Studio City and Sands' Four Seasons are tracking softer. Occupancy at Galaxy and Wynn remains strong.
- With GGR growth returning to positive territory and costs plateauing, we are focused on EBITDA estimate revisions to get more constructive on Macau.

**Exhibit 5:** Occupancy Trend: 2026 October GW vs. 2026 May GW



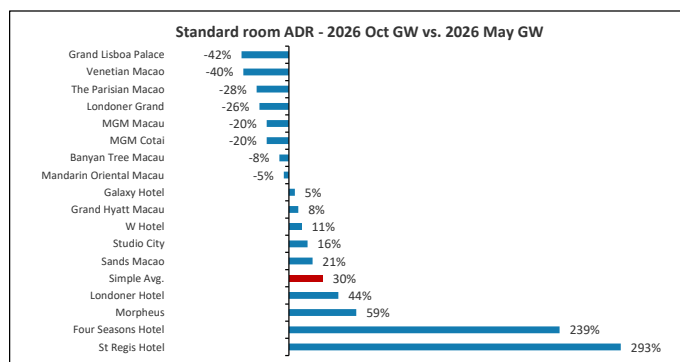
Source: Company data, Morgan Stanley Research

**Exhibit 6:** Occupancy Trend: 2026 October GW vs. 2025 October GW



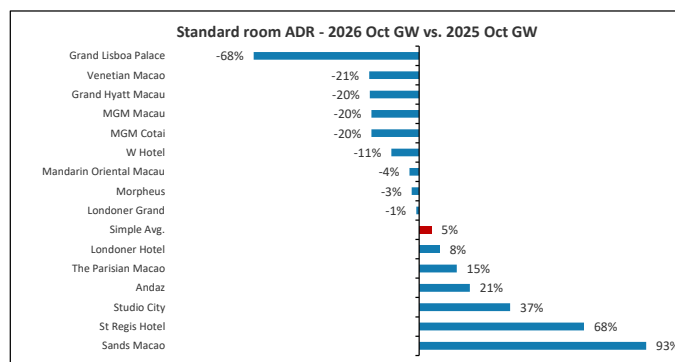
Source: Company data, Morgan Stanley Research

**Exhibit 7:** ADR Trend: 2026 October GW vs. 2026 May GW



Source: Company data, Morgan Stanley Research

**Exhibit 8:** ADR Trend: 2026 October GW vs. 2025 October GW



Source: Company data, Morgan Stanley Research



# Hong Kong Property & Conglomerates

**US marketing feedback:** US investors remain interested in HK property but are still cautious on the impact of higher rates, policy uncertainty, weak consumption in China, and HK retail competition from Shenzhen. Stock debates were concentrated around why not SHKP, whether LINK's new CEO can accelerate value creation, and whether HK Land's valuation still leaves upside after its strong move. Clients continue to prefer stocks with asset quality, valuation support, and clearer catalysts, while also questioning whether developers are sufficiently shareholder-friendly versus banks or insurance companies.

## Q3: Could rate hikes stop the home price recovery?

Despite expected Fed rate hikes over the next six months, we do not foresee an immediate shock to residential affordability. In our base case, we assume that home prices remain broadly flat in 4Q26, following a 12.5% YTD rise. However, regulatory overhangs and higher rates could cap developers' near-term share-price upside.

**We continue to prefer landlords** with (1) active capital recycling; (2) a firm commitment to total shareholder returns; and (3) strong project pipelines supporting recurring-income growth. Our picks are Swire Properties (OW) and Hongkong Land (OW).

**Industry outlook:** [Hong Kong Property: Green Lights: Start of an Upcycle \(5 Jan 2026\)](#)

**Value-up insight:** [Hong Kong Property & Conglomerates: Value-Up Through Self-Help \(2 Jul 2026\)](#)

## Residential: August Sales Soften; New Launches Gather Pace

**What's new?** According to Centaline, seven major developers' attributable sales fell a further 9% MoM to HK\$4.1bn in August 2026. *The Sterling I* (CR Land; Cheung Sha Wan) led project sales by both volume (361 units) and value (HK\$3.5bn), supported by attractive pricing and location.

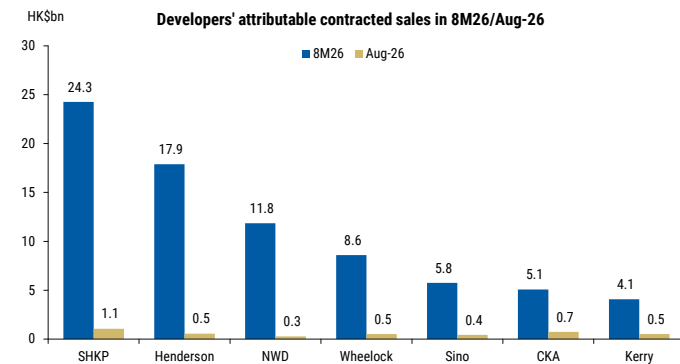
### What's our view?

- We attribute the recent sales weakness partly to a slower launch pace, as developers reassess interest-rate expectations and regulatory developments affecting mainland residents' outbound investment.
- Prime and effective mortgage rates remain unchanged at 5% and 3.25%, respectively, limiting the immediate affordability impact. However, a potential 12.5bp prime rate hike could further erode gross carry and weigh on investment demand.
- We remain constructive on the residential physical market, forecasting broadly flat home prices QoQ in 4Q26E following a 12.5% YTD rise, and a further 5% YoY increase in 2027, supported by talent inflows and employment growth. Nevertheless, slower price growth and higher rates could cap developers' near-

term share-price upside.

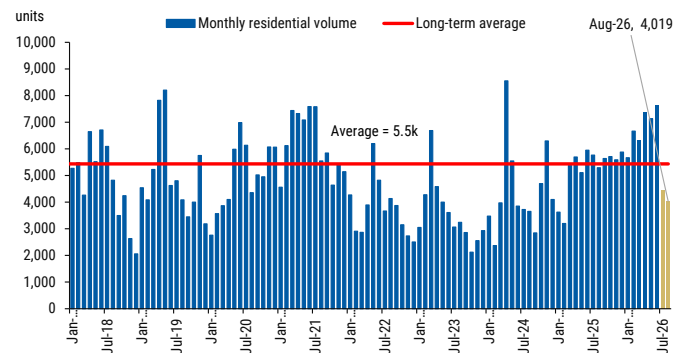
- The upcoming launch pipeline includes (1) *33 Clear Water Bay* (Kowloon Development; Ngau Chi Wan), with 361 units in Phase 1; (2) *ONE MARINA* (Sino Land / China Merchants Land / URA; Hung Hom), with 451 units; and (3) *YOHO SEASONS* (SHKP; Yuen Long), with over 600 units in Phase 1A. The first two target October launches, while YOHO SEASONS targets mid-4Q26 at the earliest, all subject to pre-sale consent.
- Developers' initial pricing, scope for ASP increases in subsequent batches and overall sell-through will be key indicators of underlying demand.

**Exhibit 9:** Weakened Primary Sales in August



Source: Centaline, Morgan Stanley Research

**Exhibit 10:** Overall Residential Volume Dropped below 5k Units for Two Consecutive Months



Source: Land Registry, Morgan Stanley Research

## HK Property and Conglomerates Valuation Table

Exhibit 11: Hong Kong Property - Valuation Table

|                | 24-Sep-2026    | Ticker  | Rating | US\$bn  | US\$mn | LoC        | LoC    | %      | NAV Disc % |        | P/B  | since 2011 | P/E  | since 2011 | Div       | Consolidated | 2026    |
|----------------|----------------|---------|--------|---------|--------|------------|--------|--------|------------|--------|------|------------|------|------------|-----------|--------------|---------|
|                |                |         |        | Mkt Cap | ADTV   | Closing Px | PT     | Upside | FY1        | LT Avg | FY1  | LT Avg     | FY1  | LT Avg     | NTM Yield | Net Gearing  | YTD     |
| Developers     | SHKP           | 0016.HK | EW     | 40      | 84     | 108.20     | 121.00 | 12%    | -46%       | -44%   | 0.50 | 0.68       | 13.2 | 11.8       | 3.6%      | 13.5%        | 14.3%   |
|                | CK Asset       | 1113.HK | EW     | 21      | 28     | 46.18      | 49.00  | 6%     | -44%       | -49%   | 0.38 | 0.63       | 11.9 | 9.1        | 3.9%      | 3.5%         | 17.4%   |
|                | Henderson      | 0012.HK | OW     | 16      | 30     | 26.30      | 30.00  | 14%    | -49%       | -43%   | 0.39 | 0.59       | 14.6 | 14.2       | 4.8%      | 43.7%        | (6.5%)  |
|                | Sino           | 0083.HK | EW     | 12      | 11     | 10.15      | 11.00  | 8%     | -38%       | -46%   | 0.56 | 0.63       | 19.8 | 13.2       | 5.7%      | Net cash     | (0.7%)  |
|                | Wharf          | 0004.HK | UW     | 8       | 4      | 19.60      | 20.00  | 2%     | -67%       | -60%   | 0.40 | 0.56       | 15.2 | 12.4       | 3.1%      | Net cash     | (9.8%)  |
|                | Kerry          | 0683.HK | EW     | 3       | 3      | 17.41      | 22.00  | 26%    | -73%       | -49%   | 0.24 | 0.49       | 13.1 | 8.9        | 7.8%      | 33.3%        | (14.2%) |
|                | NWD            | 0017.HK | UW     | 2       | 5      | 5.93       | 7.00   | 18%    | -49%       | -50%   | 0.09 | 0.45       | n/a  | 10.5       | 0.0%      | 75.3%        | (18.5%) |
| Simple Average |                |         |        | 17      | 27     |            |        | 11%    | -53%       | -48%   | 0.41 | 0.60       | 14.6 | 11.6       | 4.8%      | 23.5%        | 0.1%    |
| Landlords      | Swire Prop     | 1972.HK | OW     | 18      | 8      | 24.54      | 29.00  | 18%    | -39%       | -41%   | 0.52 | 0.60       | 17.0 | 18.2       | 4.9%      | 14.6%        | 17.0%   |
|                | Link REIT      | 0823.HK | OW     | 13      | 43     | 37.52      | 44.00  | 17%    | NA         | NA     | 0.65 | 1.01       | 14.8 | 24.7       | 6.8%      | 23.9%        | 8.0%    |
|                | HK Land        | HKLD.SI | OW     | 18      | 18     | 8.54       | 10.00  | 17%    | -24%       | -44%   | 0.59 | 0.50       | 21.3 | 16.1       | 3.2%      | 11.7%        | 22.9%   |
|                | Wharf REIC     | 1997.HK | OW     | 12      | 19     | 30.78      | 35.00  | 14%    | -48%       | -42%   | 0.51 | 0.63       | 12.1 | 15.6       | 6.5%      | 17.2%        | 25.2%   |
|                | Hang Lung Prop | 0101.HK | OW     | 4       | 7      | 6.53       | 9.50   | 45%    | -67%       | -40%   | 0.25 | 0.74       | 11.3 | 17.5       | 8.0%      | 32.7%        | (24.2%) |
|                | Hysan          | 0014.HK | EW     | 2       | 3      | 15.55      | 19.00  | 22%    | -64%       | -51%   | 0.24 | 0.56       | 10.7 | 16.3       | 6.9%      | 52.1%        | (17.7%) |
| Simple Average |                |         |        | 11      | 16     |            |        | 22%    | -49%       | -44%   | 0.46 | 0.68       | 14.5 | 18.1       | 6.0%      | 25.3%        | 5.2%    |
| HSI            |                |         |        | .HSI    |        | 24,761     |        |        |            |        |      |            |      |            |           |              | (3.4%)  |
| HSP            |                |         |        | .HSNP   |        | 18,765     |        |        |            |        |      |            |      |            |           |              | 6.8%    |

Source: FactSet, Morgan Stanley Research Note: Closing as of Sept 24, 2026.

Exhibit 12: HK/China Conglomerates – Valuation Table

| Company                                | Mkt Cap<br>(US\$mn) | Price (LC)<br>24-Sep | MS<br>rating | P/E   |       | P/B   |       | Dividend Yield |       |
|----------------------------------------|---------------------|----------------------|--------------|-------|-------|-------|-------|----------------|-------|
|                                        |                     |                      |              | 2026E | 2027E | 2026E | 2027E | 2026E          | 2027E |
| <b>HK/China Conglomerate</b>           |                     |                      |              |       |       |       |       |                |       |
| CITIC Limited                          | 48,553              | 13.09                | EW           | 5.2   | 4.9   | 0.4   | 0.4   | 5.6%           | 6.1%  |
| CK Hutchison Holdings Ltd              | 33,257              | 68.10                | EW           | 10.6  | 9.9   | 0.4   | 0.4   | 3.8%           | 4.0%  |
| MTR Corporation Limited                | 25,859              | 32.58                | EW           | 10.2  | 17.8  | 1.0   | 1.0   | 4.0%           | 4.0%  |
| Jardine Matheson Holdings Limited      | 16,599              | 56.65                | OW           | 10.5  | 9.6   | 0.6   | 0.5   | 4.4%           | 4.6%  |
| Swire Pacific Limited Class A          | 15,759              | 103.80               | EW           | 10.6  | 10.4  | 0.5   | 0.5   | 4.1%           | 4.2%  |
| Median                                 |                     |                      |              | 10.5  | 10.2  | 0.5   | 0.5   | 4.0%           | 4.1%  |
| <b>Jardine Subsidiaries/Associates</b> |                     |                      |              |       |       |       |       |                |       |
| Hongkong Land Holdings Limited         | 18,202              | 8.54                 | OW           | 27.2  | 28.1  | 0.6   | 0.6   | 3.2%           | 3.3%  |
| PT Astra International Tbk             | 10,794              | 4,770                | OW           | 6.6   | 5.8   | 0.8   | 0.7   | 8.0%           | 8.1%  |
| Jardine Cycle & Carriage Limited       | 8,294               | 26.87                | NC           | 8.8   | 8.1   | 0.8   | 0.8   | 7.3%           | 5.3%  |
| DFI Retail Group Holdings Limited      | 4,413               | 3.26                 | NC           | 15.0  | 13.6  | 11.6  | 8.9   | 4.6%           | 5.1%  |
| Zhongsheng Group Holdings Ltd.         | 905                 | 2.98                 | EW           | 9.6   | 4.3   | 0.1   | 0.1   | 5.3%           | 15.6% |
| Median                                 |                     |                      |              | 9.6   | 8.1   | 0.8   | 0.7   | 5.3%           | 5.3%  |

Source: FactSet, Morgan Stanley Research Note: Closing as of Sept 24, 2026.

# China Hotels: Holiday Season in Focus

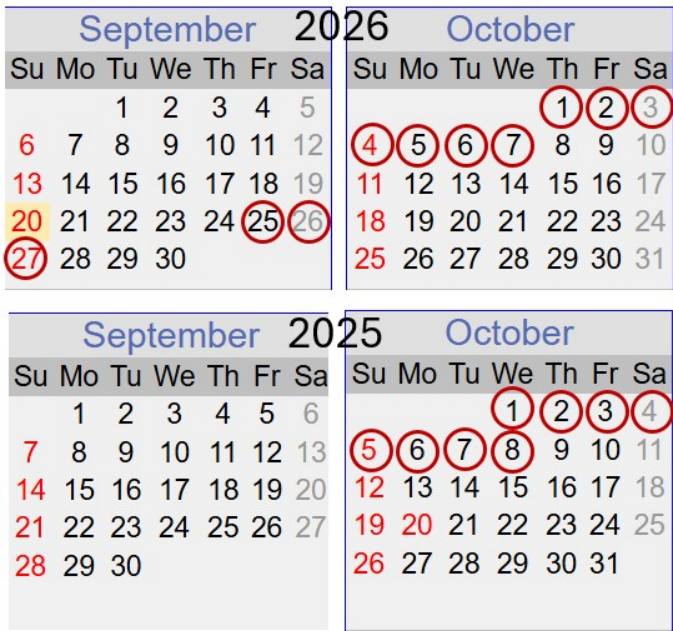
## Q4: What are we looking for this Golden Week (October) holiday?

Mainland China has embarked on two holidays this week. Mid-Autumn (September 25-27) and Golden Week (October 1-7) fall close to each other this year, creating scope for a 13-day holiday if travelers take three working days off. This will act as a key catalyst for China's domestic hotels, Macau gaming, and HK retail. For domestic travel, domestic flight ticket prices (excl. fuel surcharge) are expected to go up by 6.4% YoY for the period Oct 1-7, 2026, according to DAST.

### Strong Visitation to HK

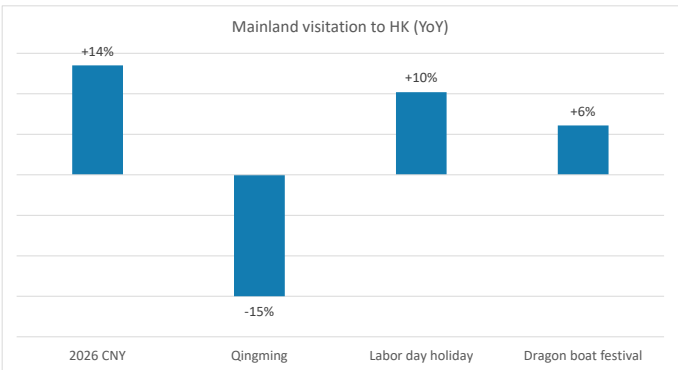
Mainland visitation to HK started earlier this year, from September 24, 2026. Total mainland visitations recorded 100.5K on September 24 as visitors started traveling; this compared with roughly 60-80K last year. We expect the holiday setup this year to benefit September's visitation number. Visitation growth has been strong YTD. May Golden Week grew 10% YoY and Dragon Boat festival in June grew 6% YoY (see the exhibit below).

Exhibit 13: Public holidays in Mainland China



Source: Morgan Stanley Research, red circles are holidays

Exhibit 14: Mainland visitations in the past holidays



Source: Immigration Department of HK, Morgan Stanley Research

# India Property: Virtual Property Seminar and 2QF27 Trend

## Q5: How are Indian developers positioned for 2QF27 and how are they tracking in 5M27 vs. expectation of F27 pre-sales?

According to Propequity, July-August data continue to point to healthy industry fundamentals, with LTM sales value up 7% YoY, volumes up 2%, inventory growth moderating, and price growth remaining strong at 14%/8% YoY in Jul/Aug.

Developer pre-sales are tracking well, with the top five achieving 32% of our F27 estimates. Godrej leads at 37%, Oberoi is strong thanks to the Rs81bn Gurgaon launch, while DLF remains the weakest on growth for now. We retain OW on Lodha, Godrej, and Prestige.

Godrej stock has seen some weakness, -18% over the last month vs. -5% BSE Realty, despite strong pre-sales. We cite execution/quality concerns seen in two of its projects, Godrej Summit and Godrej Air, weighing on sentiment.

### **Based on Propequity Data, industry trends remained healthy through July-August:**

Volumes grew 2% YoY in both months, extending the recovery seen since March 2026. Price growth was strong at 14% and 8% YoY, ahead of CPI inflation (4.82% in August 2026), but partly mix-driven. Inventory growth moderated to 15% YoY from 17% in 2QCY26.

**Noida, Navi Mumbai, and Bangalore show strong momentum**, with LTM sales value growth of 110%, 27%, and 22% YoY vs. 7% across the top six cities, supported by both volumes (+56%, +21%, and +10%) and prices (+4%, +11%, and +7%).

**Top five developers have achieved ~32% (Rs424bn) of our Rs1,310bn F27 pre-sales estimate:** DLF should improve QoQ but remains weakest on growth and F27 target achievement. Oberoi has been the strongest thanks to its Gurgaon launch (Rs81bn). Godrej continues to show the strongest pre-sales momentum with 37% of F27 sales estimate achieved.

**We remain OW on Lodha, Godrej, and Prestige:** Godrej has been the weakest-performing stock despite strong pre-sales momentum, down 18% over the last month vs. -5% for BSE Realty and +0.2% for the Sensex, with project quality/execution concerns adding to weak sentiment. At Godrej Summit, GPL had provided Rs1,550mn towards repairs and customer claims following concrete-quality issues, while the more recent Godrej Air dispute was settled with an estimated ~Rs700mn impact.

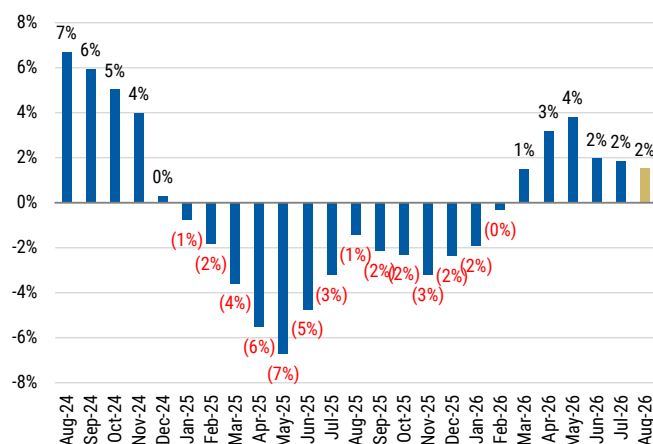
**Exhibit 15:** India – Developers: Pre-sales Trend (July + August)

|          | F2026        | F2027e       | % Growth (YoY) |            |
|----------|--------------|--------------|----------------|------------|
|          |              |              | F2026          | F2027e     |
| DLF      | 201          | 200          | (5%)           | 0%         |
| Prestige | 300          | 350          | 76%            | 15%        |
| Godrej   | 342          | 390          | 16%            | 14%        |
| Oberoi   | 54           | 130          | 3%             | 140%       |
| Lodha    | 205          | 240          | 16%            | 17%        |
|          | <b>1,103</b> | <b>1,310</b> | <b>22%</b>     | <b>19%</b> |

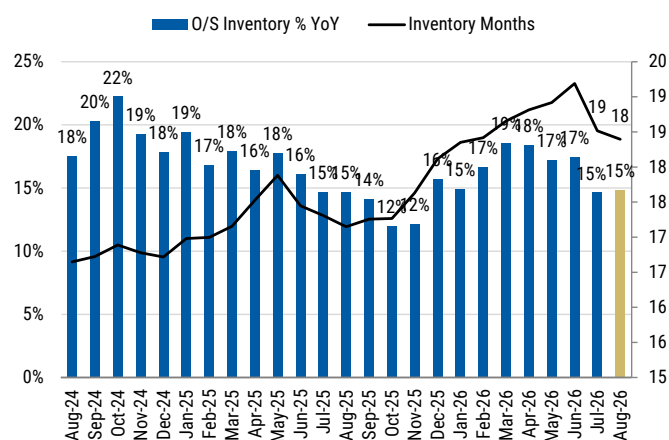
  

| 1QF27 | 1Q % YoY | 1Q LTM % YoY | July+Aug'26 | 5MFY27 % of FY27e |
|-------|----------|--------------|-------------|-------------------|
| 7     | (94%)    | (64%)        | 7.5         | 7%                |
| 66    | (46%)    | (6%)         | 28.3        | 27%               |
| 87    | 22%      | 28%          | 59.0        | 37%               |
| 10    | (36%)    | (17%)        | 86.4        | 75%               |
| 46    | 4%       | 15%          | 26.6        | 30%               |
| 216   | (41%)    | (9%)         | 207.7       | 32%               |

Source: PropEquity, company data, Morgan Stanley Research estimates

**Exhibit 16:** Top Six Cities: New Sales Volume (million sf) LTM YoY

Source: PropEquity, Morgan Stanley Research

**Exhibit 17:** Top Six Cities: Inventory months (and % YoY)

Source: PropEquity, Morgan Stanley Research

## Q6: MS Virtual India Property Day #2 (28 September): What to ask management?

We are hosting management of Lodha, Brigade (Not Covered), Mindspace REIT, and Nexus REIT on Monday. We highlight key questions worth asking management.

### Key Broader Themes

**Lodha:** (a) Data centres/Palava monetisation and underlying margins; (b) pre-sales and launch trajectory; geographic diversification beyond MMR (NCR/Bengaluru); (c) residential affordability/rate sensitivity; (d) cash flow inflection and capital deployment.

**Brigade:** (a) Launch-led pre-sales acceleration; diversification beyond Bangalore (Hyderabad/Chennai); (b) annuity portfolio scale-up and FCF generation; (c) balance sheet deployment/business development.

**Nexus REIT:** (a) Acquisition-led portfolio doubling; acquisition economics in an environment of higher rates; (b) consumption growth → rental/NOI conversion; (c) international brand expansion into Tier-2 cities

**Mindspace REIT:** (a) Leverage and inorganic growth capacity; (b) interest rate/

refinancing sensitivity; (c) acquisition spreads/cap rate outlook; (d) data-centre returns vs. traditional office; DPU growth sustainability

### Lodha

- With 1Q pre-sales up only ~4% YoY amid limited new launches, how should we think about launch and pre-sales momentum in 2Q? Does the pipeline remain more 2H-weighted?
- We've moderated annual pre-sales growth guidance to 17% from 20%. Does this reflect any change in underlying residential demand, or a deliberate shift focus toward the annuity business?
- F27 marks the entry into NCR while Bengaluru continues to scale; how meaningful could non-MMR markets become within the Rs240bn F27 pre-sales target and over the next 3–5 years? Beyond NCR, which cities could be the next growth markets?
- What share of Lodha's pre-sales comes from affordable and middle-income housing? If mortgage rates rise, how would that affect the expected recovery in this segment and the broader pre-sales growth trajectory?
- Lodha expects Rs20-30bn of annual land monetisation. Should investors treat this as a recurring part of earnings? What would be the embedded resi margin excluding this?
- With ~Rs2tn of unsold GDV and management expecting BD requirements to taper, how should we think about the step-up in operating/free cash flow over F27–29? And deployment?
- When does data centre leasing begin? Could more of the ~4,000-acre Palava land bank move from residential to data centres? Do we have sufficient power and water supply? What is Lodha's competitive moat in data? centres?

### Brigade

- 1Q presales were only Rs10.6bn with no new launches, versus the Rs90bn F27 target. With launches (target GDV of Rs134bn) largely back-ended, how should we expect sales momentum to ramp from 2Q? Is there upside to the sales target?
- Bangalore still drives a large share of sales, but ~7msf of the upcoming residential pipeline is in Hyderabad and Chennai. How quickly can these two markets scale, and what share of presales could come from outside Bangalore over the next 2-3 years?
- Leasing revenue CAGR is targeted at ~20% over the next 5-6 years. What are the key assets driving this growth, and how much incremental capital is required before the portfolio becomes meaningfully FCF-generative?
- With net debt/equity at only 0.26x, is there scope to deploy the balance sheet more aggressively toward BD?

### Nexus REIT

- Nexus aims to double its portfolio by 2030 to 18-20msf. Is the availability of institutional-quality malls at attractive valuations sufficient to achieve that target? And with interest rates potentially moving higher, how do you see acquisition cap rates evolving? Could higher funding costs make DPU-accretive acquisitions harder

to execute?

- Consumption growth has accelerated to ~17-19% versus ~11% retail NOI growth. What is driving this momentum, which segment is contributing the most, and how quickly can stronger consumption translate into higher rental and NOI growth?
- International brands are entering India. Do we see them expanding beyond metros into Nexus's Tier-2 markets?

### **Mindspace REIT**

- Leverage (LTV : 29.7%) has increased meaningfully following the recent acquisitions. How should investors think about the peak LTV the company is comfortable operating at, and does the current leverage level constrain further inorganic growth?
- With the rate cycle expected to turn, how should we think about the impact on interest expense? How much debt is due for refinancing over the next 12–24 months, and how much of the portfolio is insulated through fixed-rate borrowings?
- If interest rates move higher, how do we expect this to flow through to acquisition economics? Could cap rates expand sufficiently to offset the higher borrowing cost? Or could competition for quality office assets keep cap rates compressed and narrow acquisition spreads?
- With ~1.7msf of data centre portfolio already in Airoli and AI/hyperscaler demand accelerating, how do you compare incremental returns from data centre investments versus traditional office development, particularly given the higher capital intensity and current leverage?
- With 1Q DPU +15% YoY, can double-digit growth be sustained in 2Q as Chennai contributes for a full quarter, or will higher financing costs limit the NOI-to-DPU flow-through?

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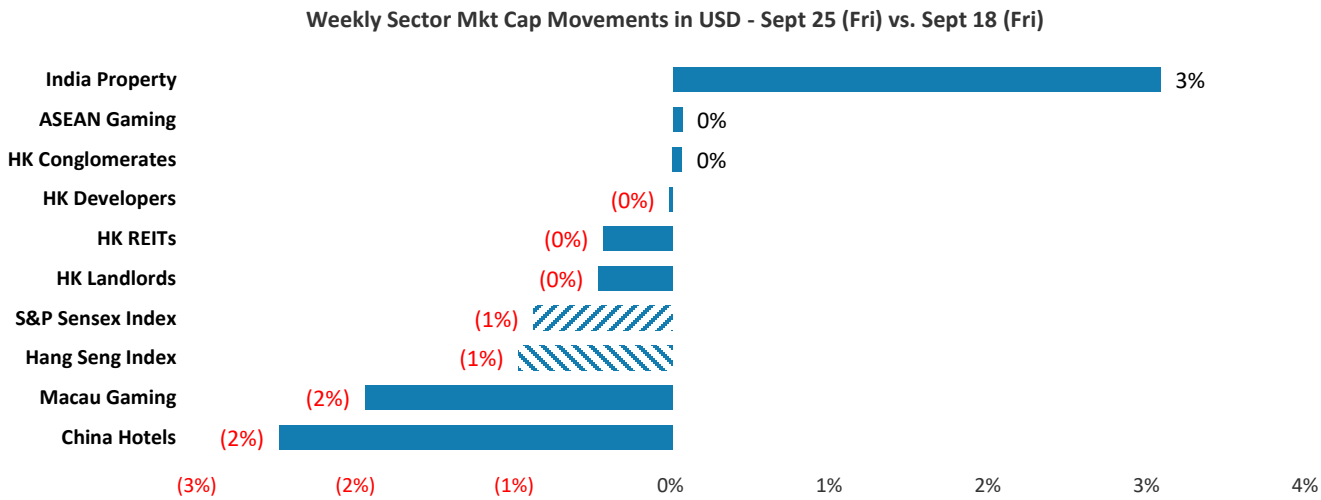
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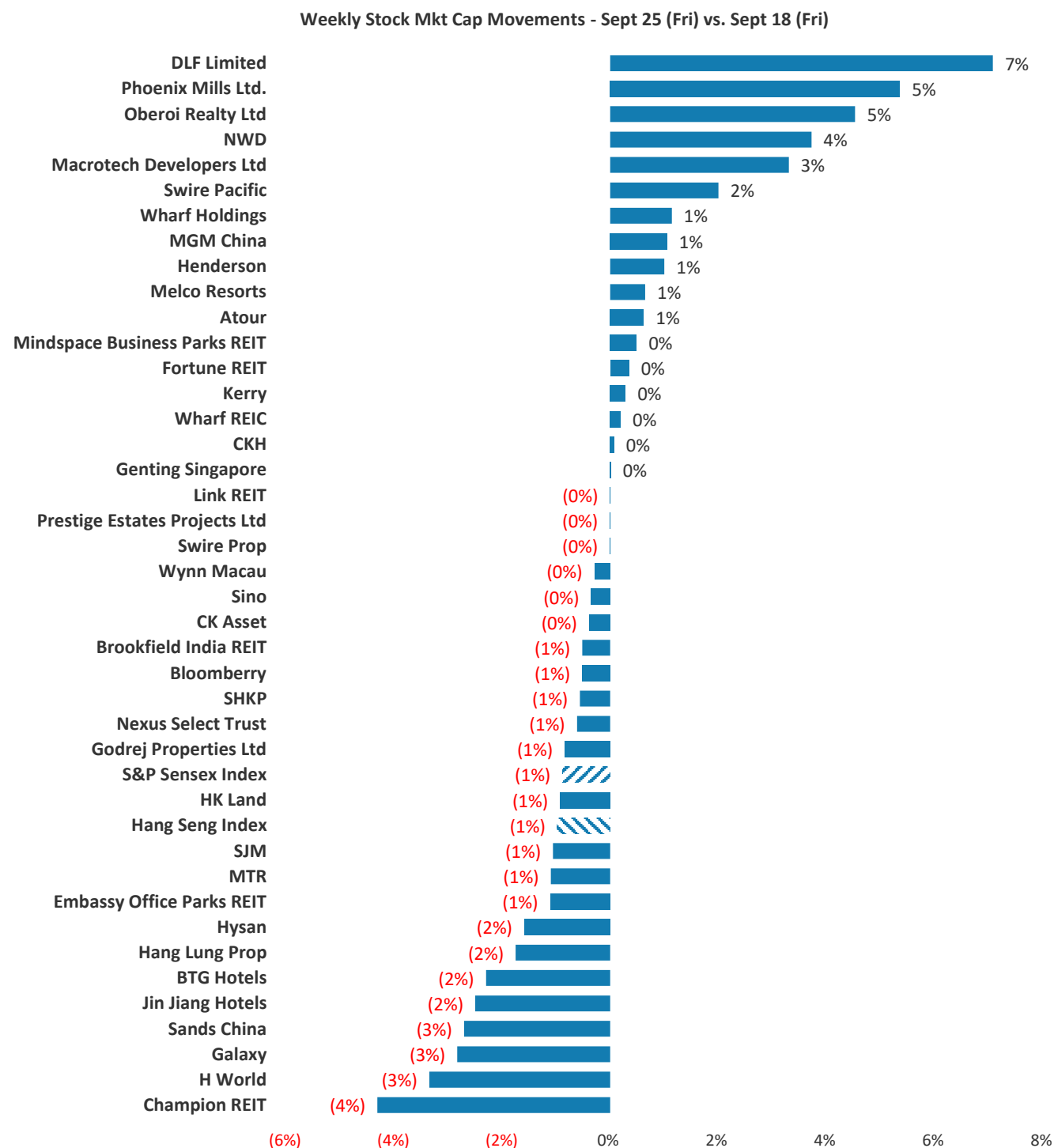
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# Market Cap Movement

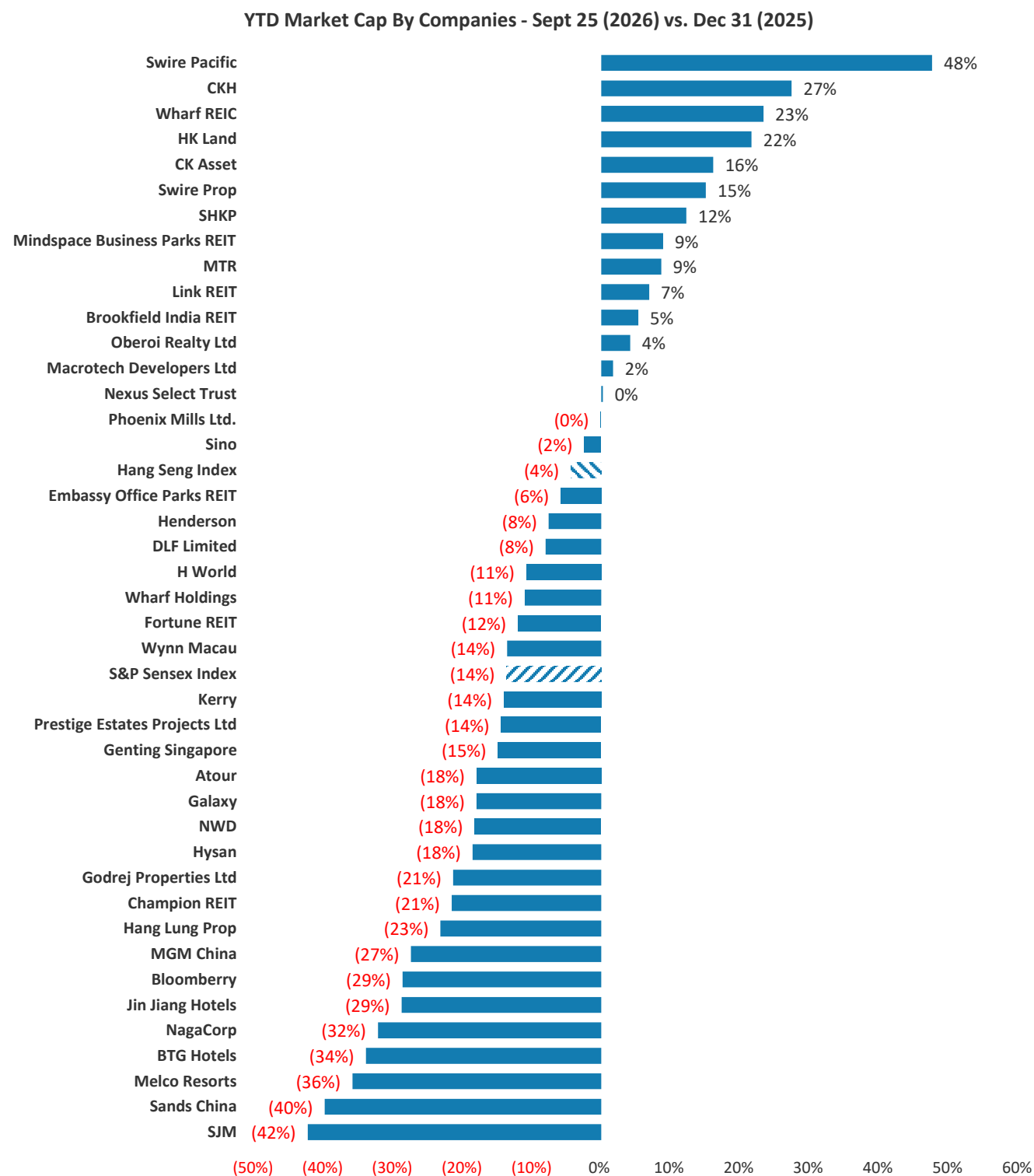
Exhibit 18: Market Cap Movement WoW %, by Group



Source: FactSet, Morgan Stanley Research. Note: Closing as of Sept 25, 2026.

**Exhibit 19:** Market Cap Movements for Stocks Under Our Coverage (and industry peers) Last Week

Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: FactSet, Morgan Stanley Research Note: Closing as of Sept 25, 2026.

**Exhibit 20:** Market Cap Movement for Stocks Under Our Coverage and Industry Peers, YTD

Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: FactSet, Morgan Stanley Research Note: Closing as of Sept 25, 2026.

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## INDUSTRY COVERAGE: Hong Kong/China Multi-Industry

| COMPANY (TICKER)                            | RATING (AS OF) | PRICE* (09/25/2026) |
|---------------------------------------------|----------------|---------------------|
| <b>Dan Chee</b>                             |                |                     |
| CITIC Limited (0267.HK)                     | E (08/27/2026) | HK\$12.94           |
| Jardine Matheson Holdings Limited (JARD.SI) | O (05/15/2026) | US\$55.86           |
| MTR Corp. (0066.HK)                         | E (07/02/2026) | HK\$32.62           |
| Swire Pacific (0019.HK)                     | E (06/19/2025) | HK\$102.00          |

Praveen K Choudhary

CK Hutchison Holdings (0001.HK)

E (07/02/2026)

HK\$67.95

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.

**INDUSTRY COVERAGE: Hong Kong/Macau Gaming**

| COMPANY (TICKER)                           | RATING (AS OF) | PRICE* (09/25/2026) |
|--------------------------------------------|----------------|---------------------|
| <b>Praveen K Choudhary</b>                 |                |                     |
| Galaxy Entertainment (0027.HK)             | O (09/14/2026) | HK\$31.70           |
| Melco Resorts & Entertainment Ltd (MLCO.O) | E (06/22/2026) | US\$4.67            |
| MGM China Holdings Limited (2282.HK)       | O (06/22/2026) | HK\$9.60            |
| Sands China Ltd. (1928.HK)                 | E (06/22/2026) | HK\$11.91           |
| SJM Holdings (0880.HK)                     | U (02/21/2023) | HK\$1.41            |
| Wynn Macau, Limited (1128.HK)              | O (03/24/2026) | HK\$5.14            |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.

**INDUSTRY COVERAGE: ASEAN Gaming**

| COMPANY (TICKER)                         | RATING (AS OF) | PRICE* (09/25/2026) |
|------------------------------------------|----------------|---------------------|
| <b>Praveen K Choudhary</b>               |                |                     |
| Bloomerry Resorts Corporation (BLOOM.PS) | U (12/19/2025) | PP1.93              |
| Genting Singapore Ltd (GENS.SI)          | U (08/08/2025) | S\$0.62             |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.

**INDUSTRY COVERAGE: Hong Kong Property**

| COMPANY (TICKER)                         | RATING (AS OF) | PRICE* (09/25/2026) |
|------------------------------------------|----------------|---------------------|
| <b>Praveen K Choudhary</b>               |                |                     |
| CK Asset Holdings Ltd (1113.HK)          | E (07/02/2026) | HK\$46.00           |
| Hang Lung Properties Ltd. (0101.HK)      | O (09/05/2025) | HK\$6.49            |
| Henderson Land (0012.HK)                 | O (05/04/2026) | HK\$26.22           |
| Hongkong Land (HKLD.SI)                  | O (05/19/2025) | US\$8.57            |
| Hysan Development Company Ltd. (0014.HK) | E (01/06/2026) | HK\$15.53           |
| Kerry Properties (0683.HK)               | E (05/30/2023) | HK\$17.58           |
| Link REIT (0823.HK)                      | O (05/04/2026) | HK\$37.02           |
| New World Development (0017.HK)          | U (12/13/2023) | HK\$6.00            |
| Sino Land (0083.HK)                      | E (06/19/2025) | HK\$9.94            |
| Sun Hung Kai Properties (0016.HK)        | E (07/02/2026) | HK\$107.10          |
| Swire Properties (1972.HK)               | O (01/06/2026) | HK\$24.32           |
| Wharf Holdings (0004.HK)                 | U (10/11/2023) | HK\$19.50           |
| Wharf REIC (1997.HK)                     | O (08/07/2026) | HK\$30.54           |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.

**INDUSTRY COVERAGE: Hong Kong/China Leisure & Lodging**

| COMPANY (TICKER)                            | RATING (AS OF) | PRICE* (09/24/2026) |
|---------------------------------------------|----------------|---------------------|
| <b>Dan Chee</b>                             |                |                     |
| Atour Lifestyle Holdings Ltd (ATAT.O)       | O (08/30/2023) | US\$32.35           |
| BTG Hotels Group Co Ltd (600258.SS)         | E (08/30/2023) | Rmb11.09            |
| China CYTS Tours Holding Co Ltd (600138.SS) | U (02/09/2026) | Rmb7.00             |
| H World Group Ltd (HTHT.O)                  | O (02/19/2025) | US\$41.99           |
| Jin Jiang International Hotels (600754.SS)  | E (02/09/2026) | Rmb18.03            |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.

## INDUSTRY COVERAGE: India Property

| COMPANY (TICKER)                        | RATING (AS OF) | PRICE* (09/25/2026) |
|-----------------------------------------|----------------|---------------------|
| <b>Monica Dasoju</b>                    |                |                     |
| Brookfield India REIT (BROF.NS)         | E (10/15/2024) | Rs337.99            |
| Embassy Office Parks REIT (EMBA.NS)     | O (09/13/2023) | Rs437.66            |
| Mindspace Business Parks REIT (MINS.NS) | O (01/05/2026) | Rs508.00            |
| <b>Praveen K Choudhary</b>              |                |                     |
| DLF Limited (DLF.NS)                    | E (07/28/2026) | Rs683.00            |
| Godrej Properties Limited (GODR.NS)     | O (02/06/2026) | Rs1,700.10          |
| Knowledge Realty Trust (KNOE.NS)        | O (09/22/2025) | Rs113.90            |
| Lodha Developers Limited (LODH.NS)      | O (07/28/2026) | Rs1,165.00          |
| Nexus Select Trust (NEXE.NS)            | O (06/28/2024) | Rs165.94            |
| Oberoi Realty Limited (OEBO.NS)         | E (07/23/2024) | Rs1,858.50          |
| Phoenix Mills Limited (PHOE.NS)         | O (11/03/2025) | Rs1,978.40          |
| Prestige Estates Projects Ltd (PREG.NS) | O (05/29/2025) | Rs1,477.80          |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.